4. Under which of the following methods the auditor evaluates control by observation and writes down?
   a. Oral approach
   b. Narrative approach
   c. Flow chart
   d. Questionnaire method

5. Check list contains the instruction to be followed by the _____
   a. Internal auditor
   b. External auditor
   c. Audit assistants
   d. Employee of the organisation

6. An auditor should study and evaluate internal controls to
   a determine whether assets are safeguarded
   b Suggest improvements in internal control
   c Plan audit procedures
   d express and opinion

7. A flow chart, made by the auditor, of an entity's internal control system is a graphic representation that depicts the auditor's.
   a understanding of the system
   b understanding of fraud risk factors
   c documentation of assessment of control risk
   d the auditor and his audit assistants

8. Internal Control Questionnaire contains the questions need to be followed by the _____.
   a Employer
   b Employee
   c Auditor
   d Banker

9. The effectiveness of internal control system determines the extent of checking done by the _____
   a. Management
   b. Auditor
   c. Accountant
   d. None of the above

10. Proper segregation of duties reduces the opportunities in which a person would both
    a. establish controls and executes them
    b. records cash receipts and cash payments
    c. perpetuate errors and frauds and conceals them
    d. record the transaction in journal and ledger.

Answers 1.(c), 2.(d), 3.(a), 4.(c), 5.(c), 6.(c), 7.(a), 8.(b), 9.(b), 10.(c),

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